

Market Update

Monday, August 31, 2026

Tyler Hubbard

Head of Research | Decentralized Masters



Oil & Iran Pivot | Warsh at Jackson Hole | Inflation: PCE 3.7% | Debasement Trade | Bitcoin August Rally | CLARITY Act: Sept 15

Market Snapshot

As of August 31, 2026

Bitcoin (BTC)

\$78,173

-3.9% wk | \$81,455 Aug high

Ethereum (ETH)

\$2,438

-2.9% wk | ETF inflow streak

Gold (XAU/USD)

\$4,491

Best Aug since 1999 | +15% mo

Silver (XAG)

\$67.10

+16% August | +65% YoY

Brent Crude

\$90.69

-5% wk from \$95 high

DXY / 10Y Yield

99.53 / 4.71%

Warsh hawkish; USD sub-100

S&P 500: 7,712 | Fed Funds: 3.50-3.75% (on hold 5 meetings) | Warsh Jackson Hole: September hike odds now 57% | CLARITY Act cloture vote: September 15

Oil & Iran: From Strikes to Sanctions

Macro | Energy Markets

MACRO

Brent Crude Today

\$90.69

Off \$95 Aug peak; 52-wk range \$58-\$126

Hormuz Daily Flow

6-8M bbl

Up from 5-6M at March conflict low

Pre-Conflict Baseline

22-24M bbl

Goldman est. current Persian Gulf: 15-16M bbl/day

What the Market Is Pricing

Last U.S. strike on Iran: late July. Washington has shifted to sanctions pressure.

Iranian official (Friday): resuming diplomacy "isn't impossible" via Qatar mediation.

Iran-Oman revenue-sharing corridor framework agreed -- no immediate Hormuz reopening.

Market now pricing "managed disruption" not a full supply shock: Brent \$90 not \$120.

Risk: any new military escalation spikes Brent back toward \$95-\$100 fast.

Problem for inflation: Brent near \$90 + PCE at 3.7% = energy keeps inflation elevated.

Goldman Sachs: Gulf exports could recover further if Iran-Oman corridor operationalized.

Warsh at Jackson Hole: Discipline, Not Decision

Macro | Fed Policy

MACRO

"I stand here today committed to a discipline, not to a decision."

Kevin Warsh -- 100th day as Fed Chair -- Jackson Hole, August 28, 2026

Key Takeaways

Rejected forward guidance: Fed should not let markets "look to the Fed for their next trade."

Inflation is still too high: "underlying trends have not meaningfully improved" despite better summer readings.

2% PCE is a "firm, fixed target" -- no goal creep.

Financial conditions not currently restrictive -- a signal current rate (3.50-3.75%) may be too low.

Market Reaction

September hike odds: jumped from ~40% to 57% immediately after the speech.

Three July FOMC dissenters already wanted a hike at the last meeting.

Economy "appears to have strengthened" -- AI capex and consumer spending cited.

No new forward guidance means September FOMC (Sept 16-17) is live with no clear read.

September hike probability: 57% | Next FOMC: September 16-17 | August payrolls (Sept 5) and CPI (Sept 11) are the deciding data

Inflation: PCE 3.7%, Core Stuck at 3.3%

Macro | Economic Data

MACRO

PCE Headline (July)

3.7%

+0.1pp above consensus

Core PCE (July)

3.3%

65 consecutive months > 2% target

Monthly Pace

0.2%

Both headline and core m/m

Real Spending Growth

~0%

Nominal up; real effectively flat

What's Driving Core Higher

Energy: Brent at \$90+ keeps CPI energy component elevated above disinflation trend.

AI infrastructure: Computer hardware and software price increases tied to data center buildout pushing core services higher.

Portfolio management fees: Equity market gains are feeding into financial services CPI component.

Structural: Core has been above 2% for 65 consecutive months. This is not a spike, it is a plateau.

Stagflation signal: Real consumer spending flat m/m while nominal figures rise -- inflation is consuming the gains.

Next: August CPI on Sept 11 | Re-acceleration = September hike locked | Shelter + services are the key components to watch

Dollar & Metals: The Debasement Trade

Macro | Hard Assets

MACRO

Gold

XAU/USD

\$4,491

+15% August

Best monthly gain since Sept 1999 (UOB). Treasury buyback expansion and dollar weakness driving bid.

Silver

XAG/USD

\$67.10

+16% August | +65% YoY

Dual driver: safe-haven demand + industrial (solar, AI chip cooling). Not a pure fear trade.

DXY

Dollar Index

99.53

Sub-100 zone

Warsh hawkishness gave brief bid. Debasement narrative and Treasury buybacks keeping dollar pressured.

The Debasement Thesis

Treasury Secretary Bessent doubled long-bond buyback operations (Aug 20) -- suppresses long yields artificially.

Market reads this as fiscal dominance: the government cannot afford to let yields run freely.

Equities (S&P 7,712) and hard assets rising together = liquidity still loose enough to support both.

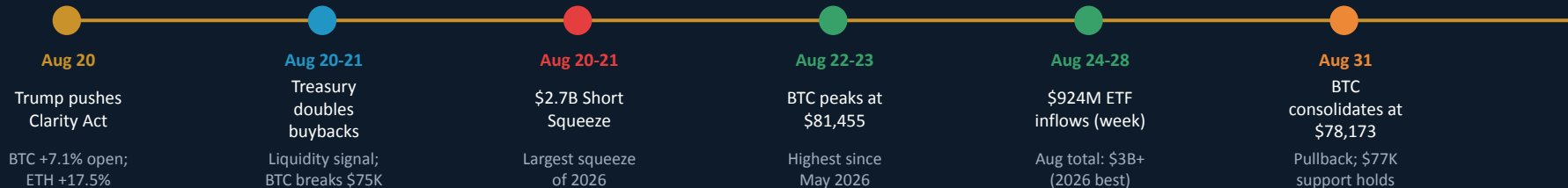
The divergence between risk assets and metals comes IF the Fed follows through with multiple hikes.

For now: gold at \$4,400 support, debasement thesis intact while DXY stays sub-100.

Bitcoin: August's Massive Run

Crypto | Bitcoin

CRYPTO



Current State & Key Levels

BTC today: \$78,173 -- pullback from \$81,455 peak.
Key support: \$77,000 (consolidation base). Below: \$72,400.
Key resistance: \$81,500 (Aug high). Above: \$85,000-\$88,000.
Fear/Greed: hit "extreme greed" first time since late 2024.
Consolidation looks healthy given squeeze magnitude.

ETF Flow Context

August spot BTC ETF inflows: \$3B+ -- strongest month of 2026.
ETH ETFs: 10-session consecutive inflow streak.
SOL and altcoin products also attracting capital.
Institutional rotation within crypto, not full exit.
Structural bid limits downside severity during corrections.

CLARITY Act: September 15 is the Real Test

Crypto | Regulation

CRYPTO

House Passed (Jul 2025)

294-134 vote

>

Senate: Cloture Filed (Aug 8)

Vote: Sept 15 -- 60 votes needed

>

Senate Floor Vote (TBD)

If cloture passes; timeline uncertain

Sticking Points

Ethics language: Democrats want Trump + officials barred from profiting on crypto.

Stablecoin yield: Banks lobbying hard against exchange yield on stable balances.

DeFi authority: CFTC vs. SEC jurisdiction still unresolved.

Only 14 working Senate days after Sept 14 return before Oct election recess.

Market Implications

Polymarket: ~17% odds it becomes law in 2026. Galaxy Research: 30%.

The \$2.7B Aug squeeze shows how much clarity is worth to the market.

Cloture FAILS: expect 10-15% crypto correction near-term.

Cloture PASSES: opens path toward BTC \$85K-\$90K before year-end.

Republicans: 53 Senate seats | Need: 60 votes | Gap: 7 Democrats must cross over

Key Levels & Scenarios

Macro + Crypto | Positioning

BULL: Clarity Passes + Fed Holds

BTC: Break above \$81,500 --> \$85K-\$90K
Gold holds \$4,400 support; \$4,700+ possible
S&P stays bid above 7,500; narrative "soft landing"
Probability: 25-30% (Polymarket/Galaxy avg)

BASE: Hike + Clarity Uncertain

BTC consolidates \$75K-\$81K through Sept
Gold dips briefly on rate hike, then recovers
S&P pressured at 7,500 on rate sensitivity
Most likely 45-50% probability scenario

BEAR: Clarity Fails + Hot CPI

BTC corrects 10-15%, tests \$72,400 zone
Dollar rallies on hike; gold under pressure
S&P tests 7,200 if earnings guidance softens
Probability: 20-25% based on current odds

TAIL: Iran Escalation + Oil \$100+

Brent re-accelerates past \$95 toward \$100
Stagflation read: bonds sell, equities volatile
Crypto: initial sell, then "inflation hedge" buy
Low probability but nonzero given Hormuz dynamics

Week Ahead: September 1-5 + Forward Catalysts

Calendar | September

MACRO + CRYPTO

TUE

Sep 1

HIGH

JOLTS Job Openings
ISM Manufacturing PMI

Labor tightness + mfg inflation

WED

Sep 2

HIGH

ADP Employment
Factory Orders
Fed Beige Book

Private payrolls + regional
inflation color

THU

Sep 3

MED

Jobless Claims
ISM Services PMI

Services = stickiest CPI
component

FRI

Sep 4

CRITICAL

Nonfarm Payrolls (Aug)
Unemployment Rate

>200K + wages >4% = hike locked

MON

Sep 7

CLOSED

Labor Day
Markets Closed

Full week returns Sep 8

Forward Catalysts Beyond This Week

Sep 11

August CPI

Final inflation read before FOMC blackout

Sep 15

CLARITY Act

Senate cloture vote -- 60-vote threshold

Sep 16-17

FOMC Decision

September rate decision; SEP projections